

**11,000+**

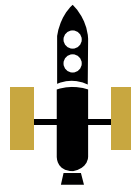
NUMBER OF START-UP EMPLOYEES WHO HAVE RECEIVED PINK SLIPS SINCE JANUARY

**75,000**

NUMBER OF START-UPS REGISTERED WITH DPIIT AS OF AUGUST 3, 2022

**50 PER CENT**

ESTIMATED DECLINE IN START-UP HIRING IN THE COUNTRY COMPARED TO LAST YEAR

**750,000+**

NUMBER OF JOBS GENERATED BY START-UPS AS OF AUGUST 3, 2022, ACCORDING TO DPIIT DATA

ects. But not all projects, verticals and geographies work, and the redundant employees are laid off. “But it’s not a cause for worry,” he says, as the lay-offs are less than 2 per cent of the estimated 1.4 million jobs created by start-ups during their halcyon days in India.

The 75,000 start-ups registered with the Department for Promotion of Industry and Internal Trade (DPIIT) had generated more than 750,000 jobs as of August 3, 2022. “But the actual number may be higher as not all start-ups are registered with the government,” says Ganesh.

LAY-OFFS ARE NOT new among start-ups. But the astounding number this time, experts say, is also a reflection of how the space has grown in the country. Five years ago, India had around 5,200 DPIIT-registered start-ups. “Start-ups are no more small employers. And the lay-offs are in single-digit percentage. That’s always a healthy churn in any sector. Even global firms churn out the bottom 10 per cent every year,” says Anshuman Das, CEO and Co-founder of Careernet, a recruiting firm. But “it will become concerning if the figures hit 30-40 per cent,” he says.

A funding winter in India triggered by the global slowdown, fall in tech stock valuations, inflation

and geopolitical instability and the subsequent austerity sparked off the lay-offs. “The capital flow slowed down this year. A lot of start-ups were on high cash burn. Even investors are advising [them to] rationalise costs,” says Siddhartha Das, General Partner at Ventureast, which is invested in firms such as Acko and Portea. PwC India’s ‘Startup Deals Tracker - Q2 CY22’ pegs the decline in fund flow at around 40 per cent to \$6.8 billion in April-June 2022, compared to more than \$10 billion raised in each of the three preceding quarters.

Yet, experts are bullish on the Indian start-up story, calling private and public markets’ investments cyclical.

“The tough funding climate is temporary. But these temporary shocks bring in a reality check and start-ups learn to build businesses more sustainably,” says T.N. Hari, Co-founder of Artha School of Entrepreneurship, and former CHRO of bigbasket. Neither do they find the lay-offs too concerning. “Some events can trigger these cyclical slowdowns. They are challenging, but nothing we’ve not seen before. In the last 20 years, we’ve seen the dotcom boom and bust, the 2008 economic crisis, telecom meltdown, the pandemic, the Russia-Ukraine [war] that disrupted supply chains. Each cycle has its own characteristic,” says Ventureast’s Das.

But there is some consensus that the stress is more in the growth- to late-stage start-ups. “Growth-stage start-ups have also been more vulnerable since they were sitting on loads of cash and went overboard in hiring and creating markets in unsustainable ways,” says Hari. Karan Mohla, Partner at B Capital, who handles early-stage companies such as Bounce, First-Cry, HealthifyMe, Xpressbees and CropIn, says the drying up of funding and the valuation drops are at a much lower level in early-stage ventures. “From what I’ve heard from the growth- and late-stage start-ups, the deals space is a lot less ac-

**PwC INDIA
PEGS THE
DECLINE IN
START-UP
FUND FLOW
AT AROUND
40 PER CENT
IN APRIL-
JUNE 2022**